

Good Afternoon Team,

Not long after acquiring the mill as part of its merger with Alliance, Bowater will cut 300 of 1,000 jobs at the Coosa Pines mill in Alabama. After posting weak 3Q01 results, Bowater is cutting costs.

For the 3Q01, McClatchy Co.'s revenues dropped 5.5%, advertising revenues were down 6.5% from 2000 and circulation revenues declined 1.2%. To keep costs down, McClatchy has reduced the width of The Sacramento Bee's pages to save newsprint. Its newspapers include The Fresno Bee, The Modesto Bee, The News & Observer in Raleigh, N.C., The News Tribune in Tacoma, Wash., and the Anchorage Daily News in Alaska. As NA newsprint demand is already stagnant, let's hope other newspapers do not decrease their newsprint consumption.

I will be back in the office tomorrow afternoon. Please call me at (832)721-3286 if you need anything.

Ayesha